

24SMCV02275 24SMCV02275

County: los-angeles

Division: Civil Law and Motion

Department: 205

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Case Number: 24SMCV02275 Hearing Date: July 1, 2026 Dept: 205

Superior Court of California

County of Los Angeles

Beverly

Hills Courthouse | Department 205

BESPOKE FUNDING 2021A LLC,

Plaintiff,

v.

FALCON INTERNATIONAL CORP., et

al.,

Defendants.

Case No.:

24SMCV02275

Hearing Date: 7/1/26

Trial Date:

8/30/27

[TENTATIVE] RULING RE:

Motion for Instructions re Settlement Agreement

Background

On May 14, 2024, Plaintiff Bespoke Funding 2021A LLC ("Plaintiff") commenced this contractual fraud action against Defendants Falcon International Corp.; Falcon California, Inc.; Falcon Brands, Inc.; Coastal Harvest II, LLC; V1 Perez, LLC; G1 Perez, LLC; Industrial Court L11, LLC (Manufacturing); Industrial Court L11, LLC (Distribution, Cathedral City); Industrial Court L11, LLC (Distribution, Vernon); Steve Gutterman; and DOES 1 through 10.

On September 13, 2024, Plaintiff filed the operative First Amended Complaint ("FAC") against Defendants Falcon International Corp.; Falcon California, Inc.; Falcon Brands, Inc.; Coastal Harvest II, LLC; V1 Perez, LLC; G1 Perez, LLC; Industrial Court L11, LLC (Manufacturing); Industrial Court L11, LLC (Distribution, Cathedral City); Industrial Court L11, LLC (Distribution, Vernon); Steve Gutterman; Monterey Ocean Growth-GH, LLC; Base Camp Cannabis Company, LLC; PCC Cathedral City, LLC; A1 Canyon, LLC; Atwater Commerce, LLC; and DOES 1 through 10 (collectively, "Defendants"). The FAC asserts causes of action for: (1) Breach of Loan Agreement; (2) Money Lent; (3) Breach of Guaranty; (4) Breach of Indemnification; (5) Fraud; (6) Promissory Fraud; and (7) Conversion.

On October 15, 2024, Falcon Brands, Inc.; Coastal Harvest II, LLC; V1 Perez, LLC; G1 Perez, LLC; Industrial Court L11, LLC (Manufacturing); Industrial Court L11, LLC (Distribution, Cathedral City); Industrial Court L11, LLC (Distribution, Vernon); Base Camp Cannabis Company, LLC; A1 Canyon, LLC; and Steve Gutterman (jointly, "Falcon Defendants") filed their Answer to the FAC.

On November 27, 2024, Plaintiff filed an Ex Parte Application for Appointment of Receiver and Issuance of Preliminary Injunction, which was granted on December 3, 2024.

On May 13, 2026, Court-Appointed Receiver Ryan C. Baker ("Baker") filed the instant Motion for Instructions re Settlement Agreement. No opposition has been filed.

Legal Standard

“The receiver has, under the control of the Court, power to bring and defend actions in his own name, as receiver; to take and keep possession of the property, to receive rents, collect debts, to compound for and compromise the same, to make transfers, and generally to do such acts respecting the property as the Court may authorize.” (Code Civ. Proc., § 568.)

“The function of the receiver is to aid the court in preserving and managing the property involved in a particular lawsuit for the benefit of those to whom it can ultimately be determined to belong.” (City of Sierra Madre v. SunTrust Mortgage, Inc. (2019) 32 Cal.App.5th 648, 656.) “A receiver is an officer of the court and is subject to the court’s continuing control; a receiver only has those powers granted to it by statute or an order of the court.” (Id.) “The receiver, acting for the court, is not the agent of any party but acts for the benefit of all holding an interest in the receivership property.” (Id.) For example, “a receiver has no right or power to make a contract binding the property or fund in his custody without the authority or approval of the court and that an unauthorized agreement of a receiver does not bind the court in charge of the receivership,....” (Nulaid Farmers Ass’n v. LaTorre (1967) 252 Cal.App.2d 788, 793.)

Analysis

Baker contends that the proposed Settlement Agreement (“Settlement”) between Falcon Defendants and Terry William Ireland, Trustee of the T.W. Ireland Revocable Living Trust DTD 4/28/92 (“Ireland”) is in the best interests of the receivership estate, creditors, and other parties. (Baker Decl., ¶¶2, 3, 6, Ex. A.) Specifically, Baker states that the Settlement was negotiated at arm’s length and with assistance of counsel. (Id., ¶4.) Furthermore, reasonable steps were taken to investigate and confirm there is no collusion between Ireland and First Western Holding, LLC (Falcon Defendants’ landlord) including its related entities, and/or James Kunevicius (“Kunevicius”). (Id.) Moreover, the Settlement amount of \$75,000.00 resolves the threatened claims at a fraction of Ireland’s demand, which consists of: (1) \$287,419.00 for fair market “use and occupancy” rent and (2) \$32,800.00 in debris-removal charges. (Id., ¶5.) As such, the Settlement preserves substantial assets of the receivership estate for the benefits of the creditors and other parties. (Id.) Likewise, the

Settlement will avoid the uncertainty, expense, and delay of litigation. (Id., ¶6.)

Finally, there is no objection and/or opposition by Plaintiff or other parties who have appeared in this action, therefore, they concede on whether or not the Settlement is in the best interests of the receivership estate, creditors, and other parties. (See California Rules of Court Rule 3.1113(a); see also Rule 3.1320(f); Herzberg v. County of Plumas (2005) 133 Cal.App.4th 1, 20 [the party who fails to argue an issue abandons that issue].)

Conclusion

Based on the foregoing, Court-Appointed Receiver Ryan C. Baker's Motion for Instructions re Settlement Agreement is GRANTED.

Court-Appointed Receiver Ryan C. Baker is ordered to enter into and perform in accordance with the proposed Settlement Agreement.

Dated: July 1, 2026

Edward B. Moreton, Jr.

Judge of the Superior Court